

Competitive Rivalry within Industry

Number of Major Competitors	A few larger one and many small ones
How concentrated or diluted is the Industry?	Moderately dilute
Difference in Product Quality	Minor
Cost of Switching Players	Dependency and hassle
Growth in the Industry	Fast Growth
Overcapacity in the Industry	Seasonal
Fixed Costs in the Industry	High
Exit barriers in the Industry	Moderate Exit Barrier
Basis of competition in the Industry	Price and Service Competition

- Smaller players have no power but larger ones like Amazon and Flipkart have significant power, hence they possess moderate buyer power.
- Staff, fleet owners, and warehouse owners are the suppliers. Till the time they are not organised, they have low bargaining power. Hence, they have lower supplier power.
- No threat of Substitution.
- Firms can start and gain scale in pockets of the market but gaining Pan-India scale is difficult. Moderate risk as threat of entry through acquisition exists.
- Moderate competition as homogeneous product in a fast-growing industry competing on price and service.
- Logistics should enjoy average profitability due to the above-said impact of the five forces.

This way an analyst or an entrepreneur needs to understand their industry using these five forces and see how attractive the overall industry is.